Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

7.1 The Basic Objective of Firms: Profit Maximisation

Meaning of profit

- **Profit** is the difference between total revenue and total cost.

Profit = Total revenue (TR) – Total cost (TC)

When a firm produces more output, profit may not increase as the total cost also increases.

Finding a firm's profit-maximising output

- **Profit maximisation** refers to the firm's objective to make as much profit as possible.
- Assumption: The profit-maximising firm is operating in a perfectly competitive market. The firm is called a **competitive firm**.
- **Total analysis**: A profit-maximising firm chooses an output level at which the difference between its total revenue and its total cost is the largest.
- **Marginal analysis**: A profit-maximising firm chooses an output level at which the marginal revenue (MR) is equal to the marginal cost (MC).

MR = MC

When MR = MC, profit is maximised but the total revenue may not be at the maximum and the total cost may not be at the minimum.

  - **Marginal revenue (MR)** is the change in total revenue resulting from selling an additional unit of output.
  - **Marginal cost (MC)** is the change in total cost resulting from producing an additional unit of output.
  - As long as MR is not equal to MC, a firm can increase its profit by adjusting its output level.

If MR > MC	If MR < MC	If MR = MC
The firm will increase its output level.	The firm will decrease its output level.	An increase or a decrease in the output level will result in a fall in profit.

General condition of profit maximization

- The revenue from selling an additional unit of output is equal to the price

MR = P

- The profit of a competitive firm is maximised at the output level where:

MR = MC = P

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7.2 The Supply Schedule of a Competitive Firm

- A competitive firm produces at an output level where P = MC.
- The supply schedule is the same as the marginal cost schedule of the firm.

7.3 Other Objectives of Firms

- Market share maximisation
- Fulfilling corporate social responsibility
- Providing goods and services for the needy
- Personal objective
- Survival objective

7.4 Expansion and Integration of Firms

Types of expansions

Internal expansion	External expansion (integration)
A firm expands within its existing operation and management structure.	A firm expands by combining with other firms.



Opening new branches is an internal expansion.

- There are four types of internal and external expansion:
  1. **Horizontal expansion**: the expansion of a firm into **the same stage of production or the production of the same product**.
  2. **Vertical expansion**: the expansion of a firm into **a different stage of production**.
     - **Vertical backward expansion**: the expansion of a firm into **a previous stage of production**.
     - **Vertical forward expansion** refers to the expansion of a firm into **a latter stage of production**.
  3. **Lateral expansion**: the expansion of a firm into **the production of related but not directly competing goods**.
  4. **Conglomerate expansion**: the expansion of a firm into **the production of totally different goods**.

Motives for different types of expansions

- General motives for expansions
  - To enjoy economies of scale
  - To use resources more efficiently
  - To take advantage of brand names
  - To diversify sources of income and spread risk (not applicable to horizontal expansion)

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■ Specific motives for different types of expansions

Type of expansion		Motive
Horizontal expansion		• To increase market share and influence • To reduce the number of competitors (external horizontal expansion only) • To reduce duplication of facilities
Vertical	Backward expansion	• To ensure a reliable supply of input
	Forward expansion	• To ensure a market outlet for its products
Lateral expansion		• To enhance competitiveness by offering related products
Conglomerate expansion		• To develop business in another industry with a better outlook

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